

Retail Research	IPO Note
Sector: Infrastructure	Price Band (Rs): 410 - 432
18 th December 2024	Recommendation: Subscribe for Long-Term Investment Horizon

Transrail Lighting Ltd.

Company Overview:

Transrail Lighting Ltd is an Indian engineering, procurement and construction (EPC) company which primarily focuses on power transmission and distribution business and integrated manufacturing facilities for lattice structures, conductors and monopoles. The company has a track record of four decades in providing comprehensive solutions in the power transmission and distribution sector, on a turnkey basis globally. The company has a footprint in 58 countries such as Bangladesh, Kenya, Tanzania, Niger, Nigeria, Mali, Cameroon, Finland, Poland, Nicaragua, etc.

Key Highlights:

1. Strong presence and growth in power transmission and distribution vertical through implementation and execution skills: The company has completed over 200 projects in power transmission and distribution showcasing strong capabilities in project execution, skilled manpower and access to advanced machinery both in India and abroad. Services include underground cabling and substations, covering overhead transmission lines, monopole lines, distribution networks and EPC services for substations up to 765 kilovolts (kV). As of Jun'24, the company has undertaken 34,654 circuit kilometers (CKM) of transmission lines and 30,000 CKM of distribution lines. The company's in-house testing facility has evaluated over 486 towers of various configurations. It has also built India's first 1200 kV transmission lines that are currently charged at 400 kV. Additionally, the company has completed over 396 track kilometers (TKM) of overhead electrification and set up 35 locations for signaling and telecommunications in railway projects across India.

2. Established manufacturing facility: The company established its first manufacturing facility in Vadodara, Gujarat for galvanized lattice steel towers in 1994. In 2009, the company opened another facility in Deoli, Maharashtra for galvanized steel towers. The company also set up two manufacturing sites in Silvassa, Dadra and Nagar Haveli in 2007 and 2010 for conductors and poles. Equipped with advanced machinery, the factories have supplied a total of 1.3 million metric tons (MMT) of towers, 1,94,534 kilometers (KM) of conductors and 4,58,705 poles as of Jun'24. In-house tower testing facility in Deoli can test towers of up to 85 meters and 1,200 kV, having conducted tests on 486 towers to date. The company's manufacturing units in Deoli and Silvassa are CE certified and testing facilities are NABL accredited. The company aims for full backward integration, manufacturing key components for transmission line construction, which reduces its dependence on third-party suppliers.

3. Strong order book: As of June 2024, the order book stands at ~Rs 10,213 crore, with 90% coming from power transmission and distribution vertical. Key projects include transmission line construction in Bangladesh, Tanzania, Cameroon and India. The company mainly accepts export orders funded by multilateral agencies or backed by letters of credit thereby reducing payment default risk.

Valuation: At the upper price band of Rs 432, the company is valued at FY24 P/E and EV/EBITDA multiples of 24.9x and 12.1x respectively. The company has a proven financial track record with Revenue/EBITDA/PAT CAGR of 31.7%/51.8%/89.8% respectively over FY22-24. The company's unexecuted order book of Rs 10,213 cr as of Jun'24 is 2.5x of FY24 revenues which provides healthy revenue visibility for medium term. Moreover, the company is also looking to diversify into hydro and solar power EPC (turnkey projects) going forward. We recommend investors to subscribe to the issue at cut-off price for long term.

Issue Details	
Date of Opening	19 th December 2024
Date of Closing	23 rd December 2024
Price Band (Rs)	410 - 432
Offer for sale (shares)	1,01,60,000
Fresh Issue (Rs cr)	400
Issue Size (Rs cr)	817 - 839
No. of shares	1,99,16,098 – 1,94,19,259
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	5,525 – 5,800
BRLMs	Inga Ventures Private Ltd., Axis Capital Ltd., HDFC Bank Ltd., IDBI Capital Markets & Securities Ltd.
Registrar	Link Intime India Private Ltd.
Bid Lot	34 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Total amount to be funded from Net Proceeds and Pre-IPO
Funding incremental working capital requirements of the company	250.0
Funding capital expenditure of the company	90.7
General corporate purposes	-
Total proceeds from fresh issue	400.0

*Visit RHP page no 101 to get the detailed information on Objective of Issue

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	10,56,38,484	84.5
Public & Others	1,93,58,283	15.5
Total	12,49,96,767	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	9,54,78,484	70.9
Public & Others	3,92,74,381	29.1
Total	13,47,52,865	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	9,54,78,484	71.1
Public & Others	3,87,77,542	28.9
Total	13,42,56,026	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operation	2,350.0	3,152.2	4,076.5
EBITDA	206.2	293.0	475.2
PAT	64.7	107.6	233.2
EBITDA Margin (%)	8.8	9.3	11.7
PAT Margin (%)	2.8	3.4	5.7
ROE (%)	9.8	15.0	24.4
ROCE (%)	15.5	21.3	30.3
PE (x)*	82.8	49.8	23.0

Source: RHP, SSL Research

*Valuation ratios are based on pre-issue share capital

Risk Factors

- **Cancellation or modification of order book:** The company's order book is subject to cancellation, modification or delay which may materially and adversely affect the business, future prospects, reputation, financial condition and results of operation.
- **Heavy dependence on government for project tenders:** The business is substantially dependent on tenders being floated by government authorities, public sector undertakings and utilities, from which the company derives a significant portion of the revenues, i.e. ~70%/82% of 1QFY25/FY24 revenues respectively. Any delay in tenders released or no tenders released by such entities may have a material adverse effect on the business and the company's operations.
- **Currency fluctuation risks:** The company is exposed to foreign currency fluctuation risks, particularly in relation to the import of raw materials, receivables from foreign projects and trade receivables, which may adversely affect the results of operations, financial condition and cash flows.
- **High capex and working capital requirement:** The company requires significant capital expenditure and working capital, which involve lengthy implementation periods. As a result, the company may need additional financing to meet these requirements. Any debt incurred and the conditions and restrictions imposed by the financing arrangements could negatively impact the ability to operate the business effectively.
- **Penalties and regulatory action by Ministry of Corporate Affairs:** In past, the company books of accounts have been inspected by the Ministry of Corporate Affairs (MCA) and certain non-compliances have been found by the MCA in books of accounts. If the company is subject to penalties or other regulatory actions in relation to the non-compliances, the company's reputation, business and results of operations could be adversely affected.

Growth Strategies

- Leverage technical expertise, specialized domain knowledge and experience to expand core competencies in power transmission and distribution segment, both domestic and international.
- Expanding EPC portfolio into other allied/ancillary infrastructure sectors.
- Focusing on expanding the market for the conductors and to leverage new age HTLS conductors.
- Expanding international business.
- Enhancing the company's pole and lighting business in various product categories

Revenue – Segment wise

Vertical (Rs cr)	FY22		FY23		FY24		1QFY25		FY22 - FY24 CAGR (%)
	Revenue from operations	% of total revenue from operations	Revenue from operations	% of total revenue from operations	Revenue from operations	% of total revenue from operations	Revenue from operations	% of total revenue from operations	
Power transmission and distribution	1,535.9	67.2	2,406.6	78.0	3,361.1	83.8	746.0	83.2	47.9
Civil construction	442.0	19.4	331.8	10.8	374.1	9.3	104.0	11.6	-8.0
Railways	152.1	6.7	176.1	5.7	97.4	2.4	19.5	2.2	-19.9
Poles and lighting	154.1	6.7	171.7	5.6	176.6	4.4	27.4	3.1	7.1
Total	2,284.1	100.0	3,086.1	100.0	4,009.2	100.0	896.9	100.0	27.0

Source: RHP, SSL Research

Revenue – Geography wise

Particulars (Rs cr)	FY22	FY23	FY24	1QFY25
Domestic	1,417.0	1,438.8	1,661.9	449.5
International	867.1	1,647.3	2,347.3	447.4
Total	2,284.1	3,086.1	4,009.2	896.9

Source: RHP, SSL Research

Strong and diversified order book – Segment wise

Business vertical (Rs cr)	Number of orders	Confirmed unexecuted order book (Rs cr)	% of the total order book value
Power transmission and distribution	69	9,251.3	90.6
Civil construction	5	738.3	7.2
Railways	5	158.6	1.6
Poles and lighting	77	64.9	0.6
Total	156	10,213.1	100.0

Source: RHP, SSL Research

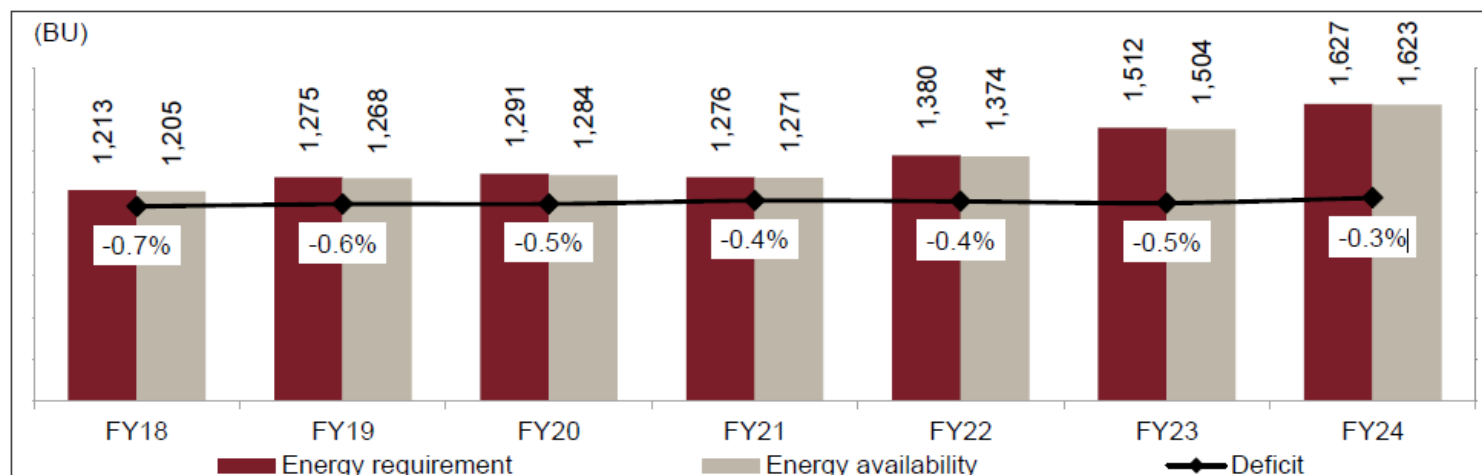
Order Inflows – Power transmission and distribution business

Particular (Rs cr)	FY22		FY23		FY24		1QFY25	
	Order inflow (Rs cr)	% of total orders procured in the power T&D business	Order inflow (Rs cr)	% of total orders procured in the power T&D business	Order inflow (Rs cr)	% of total orders procured in the power T&D business	Order inflow (Rs cr)	% of total orders procured in the power T&D business
Domestic	669.4	25.1	1,684.7	26.2	2,000.3	51.1	52.6	6.2
International	1,995.2	74.9	4,748.8	73.8	1,917.5	48.9	794.4	93.8
Total	2,664.5	100.0	6,433.5	100.0	3,917.8	100.0	846.9	100.0

Source: RHP, SSL Research

Industry Overview

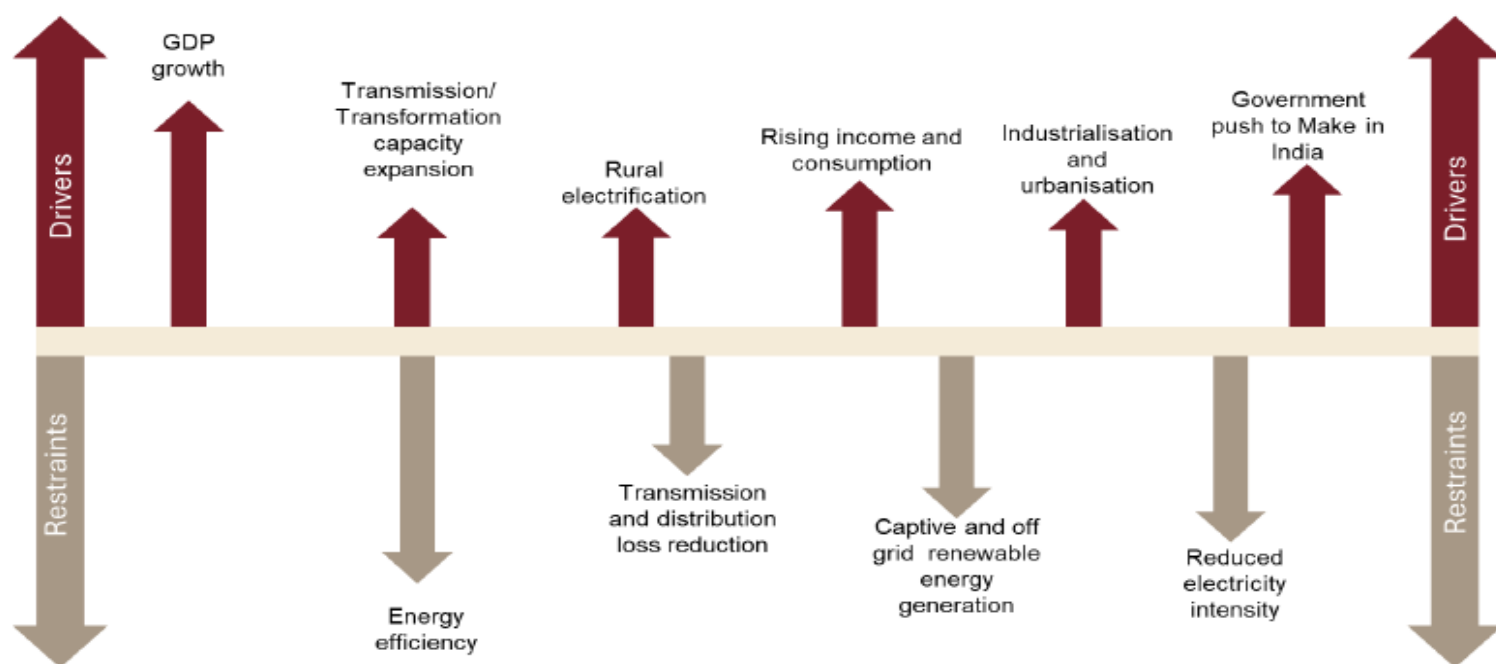
India power demand-supply gap: India's electricity requirement has risen at a CAGR of ~5.0% between FY18 and FY24, while power availability rose at ~5.1% CAGR on the back of strong capacity additions, both in the generation and transmission segments. As a result, the energy deficit declined to 0.5% in FY23 and further reduced to 0.3% in FY24 from 0.7% in FY18. Also, strengthening of inter-regional power transmission capacity over the past five years has further supported the fall in deficit levels as it reduced supply constraints on account of congestion and lower transmission corridor availability.



Source: RHP, SSL Research

Note: BU - Billions Units

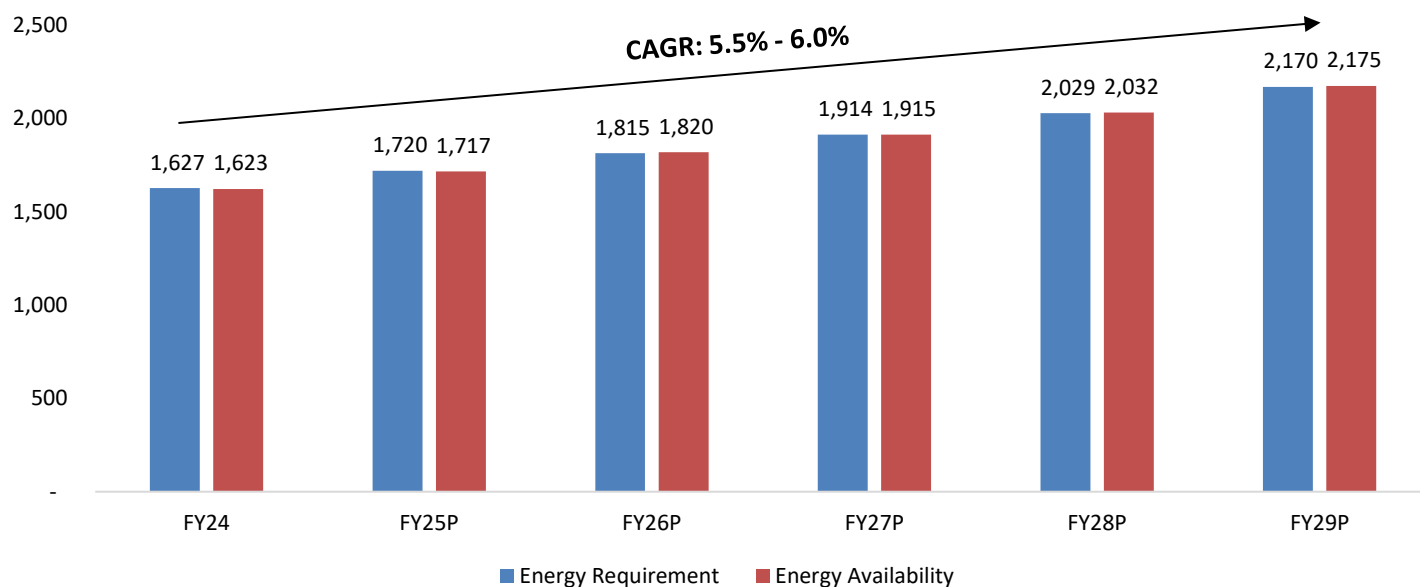
Long-term drivers and constraints for demand growth: Power demand is closely associated with a country's GDP. Healthy economic growth leads to growth in power demand. India is already one of the fastest-growing economies in the world, with average GDP growth rate of 5.8% over the past decade. The trickle-down effect of government spending on infrastructure through the National Infrastructure Pipeline, expansion of the services industry, rapid urbanisation, and increased farm income from agriculture-related reforms are key macroeconomic factors that are expected to foster power demand. Significant policy initiatives such as 24x7 power for all, Sahaj Bijli Har Ghar Yojana (SAUBHAGYA) scheme to provide electricity connections to all households, green energy corridor to facilitate evacuation of RE power, green city scheme to promote the development of sustainable and eco-friendly cities, PLI scheme and low corporate tax rates among others are expected to further support power demand in the country.



Source: RHP, SSL Research

India energy demand-supply forecast for FY24–FY29P: Power demand maintained a strong growth momentum in FY23 logging a double-digit growth of ~10% albeit a moderate base of FY22 due to extreme seasonal vagaries, sustained buoyancy in economic activities along with robust industries activities accelerated power demand. Despite the high base of the preceding three years, CRISIL MI&A-Consulting expects power demand to grow by 5.5%-6.0% in the next five years. This growth will be driven by infrastructure-linked capital expenditure, strong economic fundamentals and enhancements to transmission and distribution (T&D) infrastructure. Additionally, reforms by the Government of India aimed at improving state distribution utilities are expected to boost power supply quality, further increasing demand.

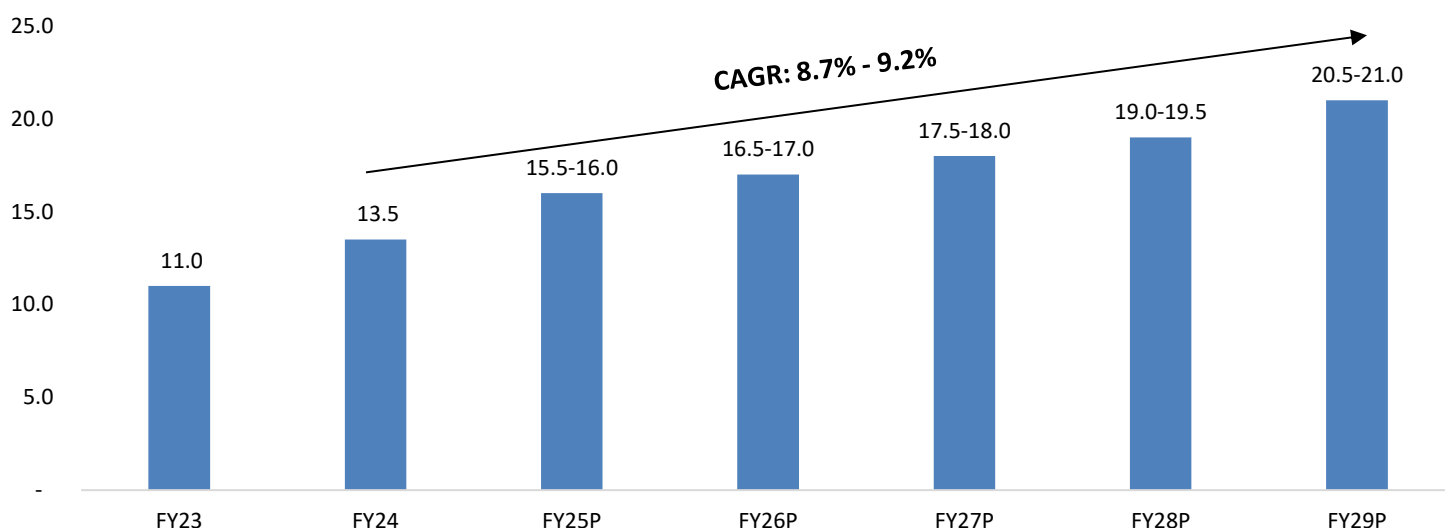
India's Energy Demand Outlook (In BUs)



Source: RHP, SSL Research

India's T&D EPC market is expected to grow at a CAGR of 8.7%-9.2% between FY24-FY29P: With significant investments expected in the T&D sector in India from FY24–FY29, the market for T&D EPC will also improve. EPC involves engineering, procurement, and construction of a project. The cost breakup of a T&D infrastructure including EPC vary depending on size, complexity, no. of lines, substations, location, topography of land and prevailing market conditions. Considering the expected investment in T&D segment, Indian T&D EPC market is estimated at around USD 20.5-21 Bn in 2029. The Indian T&D EPC market is expected to experience significant growth in the coming years driven by increasing electricity demand, government initiatives, strong thrust on sustainability and rising adoption of smart grid technologies.

India's Expected Transmission & Distribution (T&D) EPC Market



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	2,350	3,152	4,077
YoY growth (%)	-	34.1	29.3
Cost Of Revenue (incl Stock Adj)	1,542	2,160	2,708
Gross Profit	808	992	1,369
Gross margin (%)	34.4%	31.5	33.6
Employee Cost	159	179	199
Other Operating Expenses	442	520	695
EBITDA	206	293	475
EBITDA margin (%)	8.8%	9.3	11.7
Other Income	7	20	53
Interest Exp.	85	120	163
Depreciation	38	46	50
PBT	91	147	316
Tax	25	41	85
PAT	65	108	233
PAT margin (%)	2.8	3.4	5.7
EPS	5.2	8.7	18.8

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	325	360	347
Capital WIP	17	4	6
Right of use assets	9	18	26
Other Non current Assets	97	116	109
Current Assets			
Current Investment	3	3	5
Inventories	278	311	378
Trade receivables	640	645	1,026
Cash and Bank Balances	111	198	224
Short-term loans and advances	17	28	83
Other Current Assets	1,344	1,761	2,415
Total Current Assets	2,394	2,946	4,132
Current Liabilities & Provisions			
Trade payables	1,071	1,308	1,669
Other current liabilities	522	633	1,038
Short-term provisions	51	51	42
Total Current Liabilities	1,645	1,992	2,749
Net Current Assets	749	954	1,383
Total Assets	1,197	1,454	1,872
Liabilities			
Share Capital	23	23	25
Reserves and Surplus	640	749	1,114
Total Shareholders Funds	663	771	1,139
Total Debt	469	605	643
Long Term Provisions	4	4	5
Lease Liabilities	7	16	24
Other Long Term Liabilities	53	57	60
Total Liabilities	1,197	1,454	1,872

(Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	50	143	35
Cash flow from Investing Activities	(81)	(105)	(78)
Cash flow from Financing Activities	(0)	29	28
Free Cash Flow	(30)	89	7

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	2.3%	3.4%	5.8%
Return on Capital Employed (%)	15.5%	21.3%	30.3%
Return on Equity (%)	9.8%	15.0%	24.4%
Margin Analysis			
Gross Margin (%)	34.4%	31.5%	33.6%
EBITDA Margin (%)	8.8%	9.3%	11.7%
Net Profit Margin (%)	2.8%	3.4%	5.7%
Short-Term Liquidity			
Current Ratio (x)	1.5	1.5	1.5
Quick Ratio (x)	1.3	1.3	1.4
Avg. Days Sales Outstanding	99	74	75
Avg. Days Inventory Outstanding	66	50	46
Avg. Days Payables	182	167	169
Fixed asset turnover (x)	7.2	9.2	10.8
Debt-service coverage (x)	0.3	0.4	0.6
Long-Term Solvency			
Total Debt / Equity (x)	0.7	0.8	0.6
Interest Coverage Ratio (x)	2.1	2.2	2.9
Valuation Ratios			
EV/EBITDA (x)	27.7	19.7	12.2
P/E (x)	82.8	49.8	23.0
P/B (x)	8.1	6.9	4.7
EV/Sales (x)	2.4	1.8	1.4

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Transrail Lighting Ltd.	KEC International Ltd.	Kalpataru Projects International Ltd.	Skipper Ltd.	Patel Engineering Ltd.	Bajel Projects Ltd.
CMP	432.0	1,162.0	1,344.0	588.0	57.0	281.0
Sales	4,076.5	19,914.0	19,626.0	3,282.0	4,544.0	1,169.0
EBITDA	475.2	1,353.0	1,814.0	321.0	690.0	16.0
Net Profit	230.9	347.0	516.0	75.0	290.0	4.0
Mkt Cap.	5,799.9	30,933.0	21,836.0	6,618.0	4,825.0	3,250.0
Enterprise Value	5,758.5	34,728.0	25,930.0	7,245.0	6,033.0	3,238.0
EBITDA Margin (%)	11.7	6.8	9.2	9.8	15.2	1.4
Net Margin (%)	5.7	1.7	2.6	2.3	6.4	0.3
PE (x)	24.9	89.1	42.3	88.2	16.6	812.5
EV/EBITDA (x)	12.1	25.7	14.3	22.6	8.7	202.4
EV/Sales (x)	1.4	1.7	1.3	2.2	1.3	2.8
RoE (%)	24.4	8.8	10.4	9.0	7.5	0.9
RoCE (%)	30.3	16.0	16.0	20.3	13.9	6.2

For Transrail Lighting Ltd., Market cap, P/E (x), EV/EBITDA (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is closing price of 17th December 2024.

For Transrail Lighting Ltd, RoE (%), RoCE (%) are calculated on pre-issue basis.

Source: RHP, SSL Research

SBICAP Securities Limited

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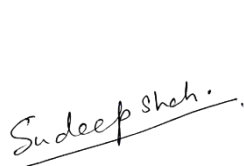
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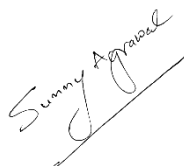
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